Ref: Directive 132.A.ii (LT)

DIRECTIVE

FINANCIAL SERVICES BOARD

REPUBLIC OF SOUTH AFRICA

LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)

Addressee:	Long-term insurers		**File:**	10/17/1 & 10/2/1/1/6	
Edition	**Issue date**	**Effective date**	**Directive**	**Status**	**Withdrawal date**
1st	29 June 1999	29 June 1999	132	Withdrawn	31 January 2004
2nd	30 January 2004	01 February 2004	132.A.ii (LT)	In force	-
3rd	-	-	-	-	-
Subject:	Interpretation of section 49 of the Long-term Insurance Act				

1. **Interpretation of section 49**

Questions have been raised in relation to the interpretation of section 49 of the Long-term Insurance Act, 1998. This section reads:

"No consideration shall be offered or provided by a long-term insurer or a person on behalf of the long-term insurer or accepted by any independent intermediary for rendering services as intermediary as referred to in the regulations, other than commission contemplated in the regulations and otherwise than in accordance with the regulations."

The words "... or accepted by any independent intermediary for rendering services as intermediary ..." are interpreted as placing a restriction on an independent intermediary to agree a separate fee with a client for services rendered to that client or prospective client.

It is the view of this Office that section 49 and the regulations issued to regulate commission payments, have as their object the regulation and limitation of remuneration paid by long-term insurers to intermediaries. The object is not to regulate or restrict the ability of an intermediary and a client to separately agree a fee in relation to services rendered by the intermediary to the client. It must remain the right of a client to contract freely with the intermediary and to pay a fee to the intermediary as part of that agreement.

An interpretation which reads such a restriction into section 49 does not accord with this Office's interpretation of that section. It is clear that ambiguity is present in the wording of the section, as it could also be interpreted that the restriction on the "acceptance by any independent intermediary" refers only to those payments offered or provided by a long-term insurer or a person on behalf of a long-term insurer and is therefore not a blanket prohibition. In the event of the latter interpretation being applied to the section, the agreement to pay a fee between a client and an intermediary is permitted. This Office will adhere to this interpretation.

It is nevertheless the intention of this Office to promote a legislative amendment to place this matter beyond doubt.

The interpretation referred to above should not be construed as allowing a policyholder to authorise, whether in a proposal form or otherwise, a long-term insurer to effect payment of a portion of that policyholder's "capital account", "estate" or "reserve" held in the life insurer to an intermediary. The legal nature of a policy is not such as to enable a life insurer to separately identify funds belonging, in a legal sense, to a particular policyholder. The funds held by the life insurer is legally the corporate property of the life insurer. It is therefore not available to a policyholder to mandate payments of such funds to any person as if they amount to funds held "in trust" by the insurer. Payment to an intermediary of a portion of a "capital account", "estate" or "reserve" whether authorised by a policyholder or not, is considered by this Office as a payment towards services rendered in maintaining a policy, i.e. for rendering services as an intermediary and the payment must be included in calculating whether the maximum commission limit is being exceeded.

2. **Appointment of "general" or "multi-line agents"**

This Office has also been requested to indicate whether or not Part 3 of the Regulations issued in terms of section 72 read with section 49 of the Long-term Insurance Act allows for the appointment of "general" or "multi-line agents" to be appointed. The need to recognise such an appointment is to enable long-term insurers to appoint one another as the agent of each other so as to enable the representatives of one insurer, as defined in the regulations, to market the products of another insurer whilst acting within the course and scope of the representatives' employment at that insurer and to do so subject to the discipline of the insurer as an employer.

The legal position is that neither the Long-term Insurance Act nor the regulations prohibit the appointment, in law, of such an agent. Nor is there a prohibition on the appointment of a life insurer in such a capacity. The only aspect in issue is whether the remuneration payable to such an agent would be regulated.

The operative part of the definition of a "representative" is that it refers to a person employed or engaged by a long-term insurer for the purpose of rendering services as intermediary (as defined), in relation only to policies entered into or to be entered into by that insurer or its holding company or subsidiary. This requirement implies exclusivity in relation to the marketing efforts of in-house sales force and enables the exemption to remunerate representatives in accordance with the principles of "equivalence of reward."

An “independent intermediary” is defined to be any person other than a ”representative” who renders services as an intermediary. Accordingly, any person who receives a mandate to market the policies of more than one long-term insurer would be an independent intermediary as defined, and would have the remuneration payable to such an entity regulated and restricted by the provisions of Part 3 of the Regulations.

In both instances the concept “rendering services as intermediary” is used and that is defined to mean “… the performance by a person other than a long-term insurer or a policyholder, on behalf of a long-term insurer or policyholder, of any act directed towards entering into, maintaining or servicing a policy.” (own underlining). The effect of this definition is that a long-term insurer cannot render services as intermediary as defined. It can also not be employed for the “… purpose of rendering services as intermediary ...” as required by the definition of a “representative”. Therefore it does not qualify to be a” representative”. Similarly, it cannot be said to be an ”independent intermediary” as it is also required to be “rendering services as intermediary” for purposes of that definition. In the light of this, long-term insurers may appoint one another to market their respective products, and a long-term insurer may accept such an appointment from more than one other long-term insurer. Since the actions performed by employees of an employer are those of the employer, it stands to reason that the act of selling performed by employees of a long-term insurer is selling by the long-term insurer itself. Accordingly where sales are effected by employees of a long-term insurer, albeit products of another insurer, in terms of an arrangement between the two long-term insurers, such an arrangement is permitted and the commission payable in relation thereto is not regulated.

This interpretation requires that the long-term insurers deal with one another as principals. If the employees of one long-term insurer were to deal directly with the other long-term insurer in relation to the selling of that insurer’s products, they would *ipso facto* become independent intermediaries in terms of the definition for such intermediaries, their commission will be regulated and they will forego the benefits of equivalence of reward.

3. Assistance policies

Uncertainty existed whether any commission paid or accepted for rendering services as an intermediary in relation to an assistance policy, whether individual or group, is regulated or not. The intention was and is not to regulate or restrict any remuneration paid to an intermediary in relation to assistance policies.

Item 7 in the Table in Annexure 1 of Part 3 of the Regulations issued under the Long-term Insurance Act was therefore amended in 2002 to reflect the words “not regulated” in both columns 3 and 4.

In Annexure 2 of Part 3 of the Regulations issued under the Long-term Insurance Act Scale A refers to group schemes or fund policies. Questions have been raised in relation to the interpretation of this Scale as to whether or not it would include assistance policies issued to groups or funds. This was and is however not the intention that it should include assistance policies and should thus not be interpreted in this way.

4. **Policies issued before the new Act became operative**

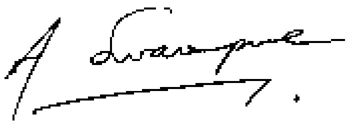
Some insurers raised questions as to whether the commission regulations issued under the repealed Act (Insurance Act, 1943) or the commission regulations issued under the Long-term Insurance Act, will apply to those old policies issued before the new Act became operative.

The commission regulations under the Long-term Insurance Act will only apply to policies which were or will be entered into after this Act became operative, therefore, policies issued after 1 January 1999. The 1943 Act's commission regulations will still apply to the old policies.

In a case, however, where the premium of a policy which was entered into before 1 January 1999, will increase after 1 January 1999, as a result of an option stated in the policy document to increase premiums for inflationary reasons, the commission regulations issued under the Long-term Insurance Act will apply to the increase in premium.

5. **Information sharing**

This directive is available on the website (www.fsb.co.za) of the Financial Services Board. Insurers must bring this directive to the attention of their appointed auditors and statutory actuaries.



pp **REGISTRAR OF LONG-TERM INSURANCE**